AlphaSense Highlighted Document

Madrigal Pharmaceuticals Inc

1Q26 Reports: REZDIFFRA Sales Come in Hot w/ Strong Growth Expected in 2026

Wed May 06 2026 ASR

User Highlights & Comments

Madrigal Pharmaceuticals, Inc. (MDGL) — Overweight

1Q26 Reports: REZDIFFRA Sales Come in Hot w/ Strong Growth Expected in 2026

CONCLUSION

MDGL reported strong 1Q26 earnings with $311.3M REZDIFFRA net sales which surpassed consensus of ~$301M. Importantly, mgmt believes REZDIFFRA's launch is "looking good" to meet consensus FY26 sales of ~$1.4B with gross-to-net in the mid-to-high 30s in 2026 (vs high-30s expectation at 4Q/FY25). As such, this reinforces our high PoS for REZDIFFRA to achieve blockbuster status in 2026 (>$1.1B net sales over last 12-months) with potential to surpass consensus given strong payer coverage and robust uptake among physicians/patients. Moreover, Ph3 MAESTRO-NASH-OUTCOMES data is on-track for 2027 where mgmt emphasized 2-year OLE F4c data de-risks PoS. Additionally, MDGL continues to expand their leading MASH portfolio with the recent global licensing agreement for ARO-PNPLA3. Thus, we remain bullish on MDGL and believe REZDIFFRA is poised for continued success given its best-in-class product profile and streamlined launch. We are hosting MDGL for a NYC Omakase dinner on June 22nd. ***Email us to register.***

- **Solid quarter where REZDIFFRA launch is "looking good" to meet consensus FY26 expectations of ~$1.4B.** Notably, MDGL announced REZDIFFRA achieved $311.3M net sales in 1Q26 which surpassed consensus of ~$301M (per FactSet). Accordingly, this instills us with confidence in the strength of REZDIFFRA's launch where it generated >$1.1B in net sales over the last 12-months and mgmt emphasized its performance is tracking with best-in-class specialty launches. For reference, consensus estimates net sales of ~$347M (2Q26), ~$388M (3Q26), ~$438M (4Q26), and ~$1,478M (FY26) (per FactSet). In regard to sales expectations, mgmt noted they believe consensus sounds good and believe REZDIFFRA is on-track for a blockbuster year. When asked about 2Q26 expectations, MDGL noted the trends are great with substantial patient growth observed and mgmt expects this momentum to carry forward throughout 2026. Further, for SG&A, mgmt noted they want to support a mega-blockbuster brand through sales force marketing and would expect an increase in 2Q26 that is steady throughout the rest of the year (want to be in front of growth and support REZDIFFRA's brand). Moreover, mgmt believes they will have favorable gross-to-net for the rest of the year (better clarity in 2Q26) where the team managed it well this quarter and expect it to be in the mid-to-high 30s (vs high 30s expectation at 4Q/FY25 earnings) for the remainder of 2026. From a profitability perspective, mgmt discussed they believe it is inevitable where MDGL is preparing for this now but do not expect to achieve profitability this year (planning for quarters beyond 2026).

Please see pgs. 2-6 for more details on patients, physicians, GLP-1 usage, Ph3 MAESTRO-NASH-OUTCOMES, pipeline expansion, EASL, catalysts, & cash

RISKS TO ACHIEVEMENT OF PT & RECOMMENDATION

Commercial risks for REZDIFFRA in F2/F3 *MASH* and clinical risks in F4 *MASH* cirrhosis.

COMPANY DESCRIPTION

Madrigal is developing resmetirom for treatment of *MASH* and MASLD.

PRICE: US$502.47

TARGET: US$900.00

Our $900/sh PT is derived from an rNPV analysis of REZDIFFRA MASH sales with: 1) $434/sh US F2/F3; 2) $165/sh EU F2/F3; 3) $182/sh US F4; 4) $93/sh EU F4; and 5) $26/sh from cash.

Yasmeen Rahimi, Ph.D.
Sr. Research Analyst, Piper Sandler & Co.
646 819-3586, yasmeen.rahimi@psc.com

Emma Nesson
Research Analyst, Piper Sandler & Co.
212 284-9348, emma.nesson@psc.com

Liam Hiester
Research Analyst, Piper Sandler & Co.
646 656-5259, liam.hiester@psc.com

Dominic Lorenzi
Research Analyst, Piper Sandler & Co.
646 951-0692, dominic.lorenzi@psc.com

Changes	Previous	Current
Rating	—	Overweight
Price Tgt	—	US$900.00
FY26E Rev (mil)	US$1,421.8	US$1,478.8
FY27E Rev (mil)	US$2,108.7	US$2,168.6
FY26E EPS	US$(9.70)	US$(6.81)
FY27E EPS	US$8.75	US$9.51

52-Week High / Low	US$615.00 / US$265.00
Shares Out (mil)	23.1
Market Cap. (mil)	US$11,584.4
Avg Daily Vol (000)	346
Div Yield	0.00%
Fiscal Year End	Dec

Price Performance - 1 Year



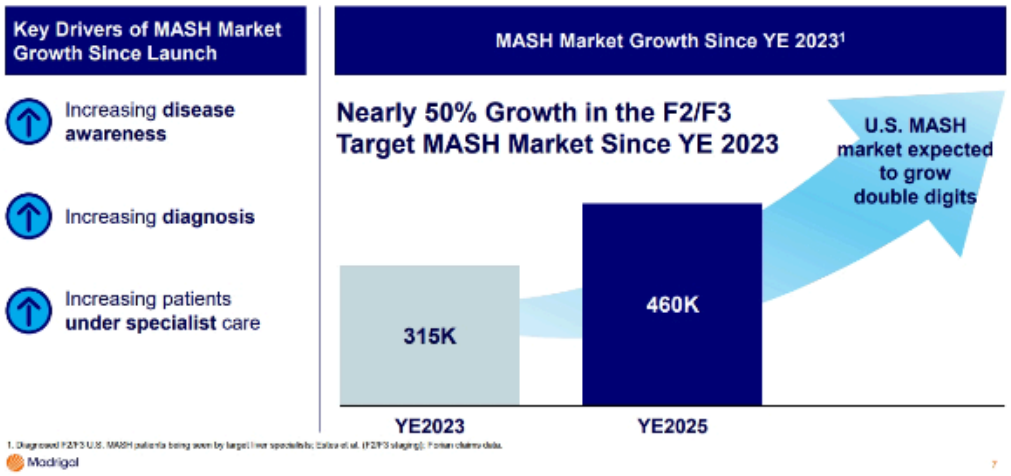
Source: Bloomberg

YEAR	REVENUE (US$ m)						EARNINGS PER SHARE (US$)					
	Mar	Jun	Sep	Dec	FY	FY RM	Mar	Jun	Sep	Dec	FY	FY P/E
2025A	137.3	212.8	287.3	321.1	958.4	12.1x	(3.32)	(1.90)	(5.08)	(2.57)	(12.85)	NM
2026E	311.3A	347.0	385.8	434.6	1,478.8	7.8x	(3.25)A	(2.23)	(1.28)	(0.29)	(6.81)	NM
2027E	400.5	468.8	567.0	732.3	2,168.6	5.3x	(1.37)	0.31	2.82	7.72	9.51	52.8x

Piper Sandler does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decisions. This report should be read in conjunction with important disclosure information, including an attestation under Regulation Analyst Certification, found on pages 8 - 9 of this report or at the following site: http://www.pipersandler.com/researchdisclosures.

Patient numbers continue to grow where they are up 2.5x since 1Q25. Importantly, mgmt emphasized the strength of REZDIFFRA uptake in practice where >42,250 patients are on drug as of March 31st 2026 (vs >36,250 as of YE25). As such, this represents a 2.5x increase since 1Q25 which speaks to the high patient demand for an oral QD liver-targeted therapy such as REZDIFFRA which is both safe/tolerable and effective. With this, mgmt discussed the continued growth of patients on drug demonstrates the utility of "wiring the system" where REZDIFFRA continues to have 1L access establishing it as a foundational MASH therapy. Further, REZDIFFRA offers a differentiated profile supported by strong adherence which enables the continued addition of more patients every quarter. Moreover, mgmt noted this represents a significant achievement by any standard especially in a new market where there is clear unmet need and continued demand from both docs and patients (momentum is strong). Notably, mgmt reminded us the US F2/F3 MASH population is substantially growing where it has increased by ~50% since YE23 and double-digit growth is expected moving forward (**Exhibit 1**). Accordingly, key drivers of market expansion are overall increased disease awareness, increased diagnosis, and increased patients under specialty care. For reference, mgmt noted NVO (not covered) has helped to grow MASH awareness where MDGL is also seeing more interest from practices in purchasing NITs (to facilitate staging of patients and ability to treat). Given this, mgmt emphasized we are still in the early stages of the MASH market where the diagnosis rate is a little over ~10% and penetration remains under ~10% which sets the stage for rapid expansion and a substantial opportunity to blockbuster peak sales.

Exhibit 1 - US F2/F3 MASH Population Has Increased by ~50% Since YE23



Source: MDGL Company Materials

Physicians continue to appreciate REZDIFFRA's product profile in MASH where MDGL has made key learnings over the last 2-years. With this, mgmt highlighted physicians (>10K prescribers) strongly appreciate REZDIFFRA's product profile where they have learned what matters most to the MASH market (prescribers, patients, community). Specifically, MDGL walked us through three key aspects of REZDIFFRA's strength (**Exhibit 2**) which include: 1) best-in-class profile supported by high persistence, prescription depth, and positive market research across prescribers/patients; 2) robust real-world performance bolstered by emerging real-world data and prescribers who detail "my real-world experience has surpassed my expectations"; and 3) strong leadership where MDGL has the right team, model, and start supported by 93% healthcare provider satisfaction (improved since semaglutide launch), >$1.1B last 12-month sales, and >10 pipeline programs. As such, MDGL's strong execution in tandem with REZDIFFRA's leading product profile position it for a continued successful launch with high approval among patients and prescribers. When asked about the physician split, mgmt noted that hepatologists were out of the gate faster/better prepared to use REZDIFFRA in practice, but gastroenterologists outnumber hepatologists (~10:1). Nevertheless, endocrinologists are just starting to come on and are more actively looking for easy to use *MASH* therapies such as

REZDIFFRA where MDGL considers this a productive specialty with high potential for growth in their future.

Exhibit 2 - REZDIFFRA is a Foundational MASH Therapy Setting a High Bar Now and in the Future



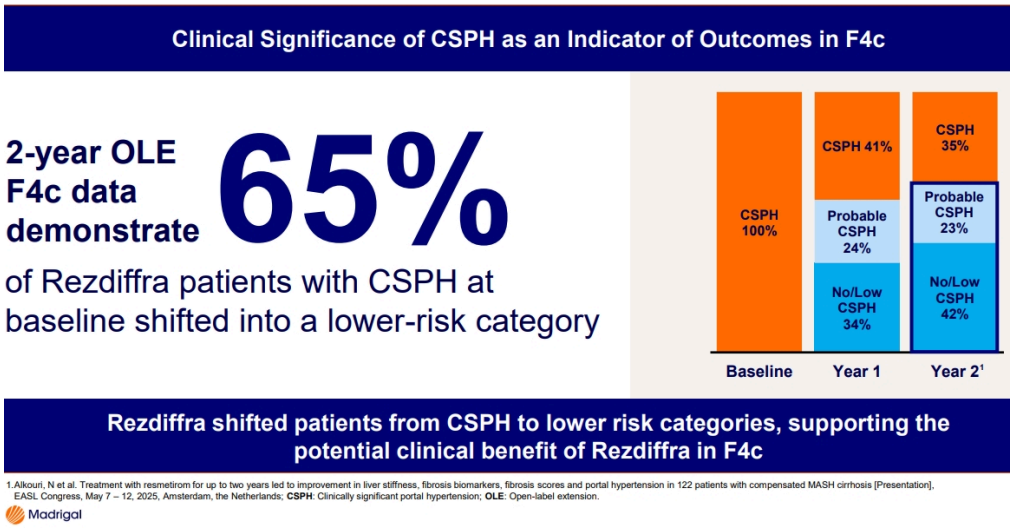
Source: MDGL Company Materials

Combination of REZDIFFRA and GLP-1 usage continues to be ~25% where MDGL has not observed an impact on REZDIFFRA's launch. When asked about the potential impact of NVO's WEGOVY (semaglutide; MASH approval August 2025) on REZDIFFRA's launch, MDGL indicated that they have observed no real difference or effect on the strength of launch. To support this, MDGL indicated that they are exiting April with their best new-to-brand prescription numbers since beginning REZDIFFRA's launch. Accordingly, mgmt discussed how GLP-1s are becoming a background therapy where many patients are already on a GLP-1 or have had experience with one prior to coming into the clinic for MASH treatment. As such, MDGL noted that ~25% of patients are on a combination of REZDIFFRA and a GLP-1 and ~>50% of patients were previously exposed to a GLP-1. Further, mgmt noted that they expect those numbers will continue to rise given GLP-1's widespread use. Regarding payer dynamics for patients on combination REZDIFFRA and GLP-1, MDGL pointed out that payers will cover a GLP-1 for use in a comorbid indication such as obesity rather than covering both REZDIFFRA and a GLP-1 for the indication of MASH. As a reminder, MDGL's pipeline includes MGL-2086 (oral GLP-1RA small molecule) which has a Ph1 SAD study on track to initiate in 2Q26.

Ph3 MAESTRO-NASH-OUTCOMES data is on-track for 2027. Moreover, MDGL emphasized blinded events are tracking in the range of expectations with topline expected 2027 from Ph3 MAESTRO-NASH-OUTCOMES (NCT05500222; n=845 well-compensated MASH cirrhosis). When asked about fine-tuning guidance, mgmt noted when they have more precision on timing they will provide an update and reiterated events are tracking where they are excited about the results. With this, MDGL has high confidence in the trial considering robust 2-year OLE cirrhosis data which showed REZDIFFRA drives benefit in the cirrhotic (F4c) population. Importantly, these data effectively de-risk Ph3 MAESTRO-NASH-OUTCOMES considering similar patient populations and REZDIFFRA showed benefit across VCTE, CSPH risk (**Exhibit 3**), Agile-4, spleen volume, MRI-PDFF, CAP, MRE, and lipids with strong safety/tolerability. Specifically, mgmt highlighted 65% of REZDIFFRA patients with CSPH at baseline shifted into a lower-risk category in the 2-year OLE F4c data which effectively supports the potential for REZDIFFRA to treat this high unmet need patient population. In regard to the enrolled patient population, mgmt detailed they have allowed low platelet count patients (≥70K platelet count) in MAESTRO-NASH-OUTCOMES with enrichment to make sure they observe outcomes that bring patients back from the cusp of decompensation into a less-severe stage of disease. Moreover, mgmt reminded us there is an addressable population of ~245K US F4c *MASH* patients who have a greater urgency

to treat given 42x higher risk of liver-related mortality. As such, REZDIFFRA is on-track to be the first-to-market in this indication where there are no treatments currently available.

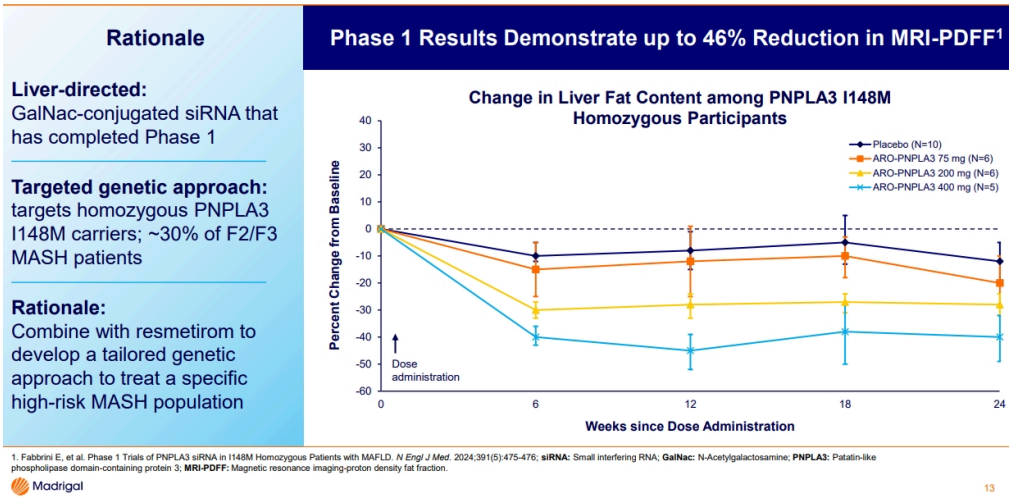
Exhibit 3 - Reducing CSPH Risk Lowers Liver-Related Events and De-risks Ph3 MAESTRO-NASH-OUTCOMES



Source: MDGL Company Materials

MDGL further expands pipeline with global licensing agreement with ARWR (covered by Tenthoff) for ARO-PNPLA3, a clinical-stage siRNA. Additionally, MDGL highlighted the recent exclusive global licensing agreement with ARWR for the clinical-stage ARO-PNPLA3. Specifically, ARO-PNPLA3 is a GalNAc-conjugated siRNA designed to reduce expression of the PNPLA3 gene which is highly prevalent among Hispanic MASH patients and represents ~30% of moderate-to-advanced fibrosis patients (consistent with F2/F3). Accordingly, ARWR will receive an upfront $25M payment with additional payments of up-to $975M if certain milestones are achieved and royalties on net sales. In return, MDGL is granted the exclusive global license to develop, manufacture, and commercialize ARO-PNPLA3. With this, it is crucial to appreciate ARO-PNPLA3 already showed Ph1 (NCT04844450) PoC data in n=55 MAFLD patients who were either homozygous or heterozygous carriers of the PNPLA3 I148M variant (~93% Hispanic/ Latino; Fabbrini E, et al. N Engl J Med. 2024 Aug 1;391(5):475-476). For reference, ARO-PNPLA3 showed (**Exhibit 4**): 1) up-to -46% reductions in liver fat (MRI-PDFF) at Week 12 following a single-dose at the highest dose tested in PNPLA3 I148M homozygous patients; 2) rapid onset of action with reductions observed as early as Week 6 and sustained response through at-least Week 24; 3) strong safety/tolerability with no clinically meaningful AEs observed; and 4) no liver fat content effect observed in heterozygous patients at any of the doses. Of note, a second Ph1 (NCT05039710) in n=9 Japanese patients further support these data. Hence, ARO-PNPLA3 represents a de-risked clinical-stage asset with clear potential as a precision medicine approach for patients at high-risk of MASH. When asked about what gave them confidence in ARO-PNPLA3 to move forward on this deal, mgmt discussed its high potential to provide complementary efficacy with REZDIFFRA. Specifically, MDGL highlighted their previous data which supported that if there is a greater reduction in liver fat then there is greater efficacy associated with REZDIFFRA. Given that ARO-PNPLA3 was able to drive up-to -46% liver fat reduction with a clean safety/tolerability profile, MDGL believes there is strong potential for additive efficacy with REZDIFFRA in the context of this subpopulation. Additionally, mgmt reiterated this licensing agreement continues to support their growing R&D strategy where they also gained the global rights to six pre-clinical siRNA programs in February 2026 (preclinical development underway).

Exhibit 4 - ARO-PNPLA3 Showed Positive Ph1 PoC Data



Source: MDGL Company Materials

MDGL will present 8 abstracts at the EASL Congress taking place May 27-30th. Of note, MDGL disclosed that 8 abstracts were accepted for presentation at the EASL Congress which is taking place in Barcelona, Spain May 27th-30th. Accordingly, recognize that the embargo policy for EASL states that the embargo will lift for abstracts within the General Session I or II and the Late-breaking Session (inclusive of late-breaking posters) on Wednesday, May 27th at 8:00 CET. With that, the embargo will lift for abstracts accepted within the remaining oral and poster sessions on Wednesday, May 13 at 8:00 CET. Of MDGL's 8 accepted abstracts, mgmt has indicated that one poster features a secondary analysis of MAESTRO-NASH/NAFLD1 trials supporting REZDIFFRA drives a reduction in Lp(a) and LDL-C in MASH patients and two posters that discuss real-world efficacy data from patients on REZDIFFRA for up-to 1 year.

Upcoming Catalysts

- siRNA (6 licensed programs) IND-enabling activities in initial preclinical candidates are **ongoing**
- MGL-2086 (oral GLP-1RA small molecule) Ph1 SAD initiation **2Q26**
- Ervogastat (oral DGAT-2 inhibitor) and resmetirom drug-drug interaction study initiation **4Q26** and Ph2 combination study initiation **2027 (following regulatory discussions)**
- ARO-PNPLA3/resmetirom combination planning **ongoing**
- 52-week Ph3 MAESTRO-NAFLD-OLE (NCT04951219) in n=1000 MAFLD patients with primary endpoint of safety has primary completion listed as **March 2026** (per clinicaltrials.gov) — Active, not recruiting (status changed on July 30, 2025)
- Up-to 36-month Ph3 MAESTRO-NASH-OUTCOMES (NCT05500222) in n=~845 compensated MASH cirrhosis patients (Child-Pugh A and presence of three metabolic risk factors) with primary endpoint of incidence of adjudicated composite clinical outcome event (all-cause mortality, liver transplant, ascites, hepatic encephalopathy, gastroesophageal variceal hemorrhage, and confirmed increase of MELD score from <12 to >/= 15 due to liver disease) has primary completion listed as December 2026 (per clinicaltrials.gov) and data guided for **2027** — Active, not recruiting (enrollment completion was announced on October 21, 2024)

- Up-to 54-month Ph3 MAESTRO-NASH (NCT03900429) in n=1759 MASH patients with fibrosis with primary endpoint of time to experience an adjudicated composite clinical outcome event has primary completion listed as January 2028 (per clinicaltrials.gov) and data expected in **~2028** — Active, not recruiting (status changed on October 11, 2023)

Cash. As of March 31, 2026, MDGL reported $817.9M in cash, cash equivalents, restricted cash, and marketable securities.

Madrigal Pharmaceuticals, Inc.
(Nasdaq: MDGL)

Yasmeen Rahimi, Ph.D., Senior Research Analyst
Yasmeen.Rahimi@psc.com
Phone: (646) 819-3586

Income Statement
Revised: 5/6/2026

Year ended December 31 *(In thousands of US$)*	FY 2018A	FY 2019A	FY 2020A	FY 2021A	FY 2022A	FY 2023A	FY 2024A	FY 2025A	1Q Mar-26A	2Q Jun-26E	3Q Sep-26E	4Q Dec-26E	FY 2026E	1Q Mar-27E	2Q Jun-27E	3Q Sep-27E	4Q Dec-27E	FY 2027E	FY 2028E	FY 2029E	FY 2030E	FY 2031E	FY 2032E	FY 2033E	FY 2034E	FY 2035E	FY 2036E	FY 2037E	FY 2038E	FY 2039E	FY 2040E	FY 2041E	FY 2042E	FY 2043E	FY 2044E
REVENUES																																		
REZDIFFRA in F2/F3 MASH - U.S.	-	-	-	-	-	-	180,133	958,403	311,337	345,584	383,598	425,468	1,465,987	391,430	450,145	517,667	579,064	1,938,306	2,330,809	2,751,092	2,942,646	3,138,072	3,505,167	3,661,839	3,813,653	4,012,929	4,097,582	4,288,312	4,357,204	4,560,019	4,610,339	4,801,050	4,854,030	5,054,822	5,108,049
Q/Q Change	-	-	-	-	-	-	*N/A*	*432.1%*	*-3.0%*	*11.0%*	*11.0%*	*10.9%*	*53.0%*	*-8.0%*	*15.0%*	*15.0%*	*11.9%*	*32.2%*	*20.2%*	*18.0%*	*7.0%*	*6.6%*	*11.7%*	*4.5%*	*4.1%*	*5.2%*	*2.1%*	*4.7%*	*1.6%*	*4.7%*	*1.1%*	*4.1%*	*1.1%*	*4.1%*	*1.1%*
REZDIFFRA in F2/F3 MASH - EU	-	-	-	-	-	-	-	-	-	1,400	2,240	9,175	12,815	9,084	18,621	49,347	153,284	230,335	305,272	627,473	943,681	1,404,170	1,793,897	1,995,323	2,118,240	2,250,887	2,379,999	2,468,583	2,560,464	2,655,765	2,727,870	2,801,932	2,870,846	2,911,164	2,949,103
REZDIFFRA in F4 MASH cirrhosis - U.S.	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	269,531	666,511	1,172,896	1,821,185	2,167,980	2,442,341	2,626,055	2,925,636	3,043,245	3,119,630	3,293,871	3,376,547	3,547,661	3,618,881	3,802,276	3,859,500	4,035,113
REZDIFFRA in F4 MASH cirrhosis - EU	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	157,435	258,709	451,702	719,078	986,407	1,202,635	1,420,441	1,604,751	1,730,567	1,866,248	1,955,065	2,028,029	2,103,716	2,182,227	2,252,463	2,324,959
Total Revenue	**-**	**-**	**-**	**-**	**-**	**-**	**180,133**	**958,403**	**311,337**	**346,984**	**385,838**	**434,643**	**1,478,803**	**400,514**	**468,766**	**567,013**	**732,348**	**2,168,641**	**2,905,612**	**4,202,510**	**5,317,933**	**6,815,129**	**8,186,122**	**9,085,910**	**9,760,583**	**10,609,892**	**11,125,576**	**11,607,092**	**12,077,787**	**12,547,396**	**12,913,899**	**13,325,579**	**13,709,379**	**14,077,949**	**14,417,224**
Operating expenses																																		
COGS	-	-	-	-	-	-	6,233	56,148	26,847	31,229	34,725	39,118	131,919	36,046	42,189	51,031	65,911	195,178	261,505	378,226	478,614	613,362	736,751	817,732	878,452	954,890	1,001,302	1,044,638	1,087,001	1,129,266	1,162,251	1,199,302	1,233,844	1,267,015	1,297,550
Gross Profit							**173,900**	**902,255**	**284,490**	**315,756**	**351,113**	**395,525**	**1,346,884**	**364,468**	**426,577**	**515,982**	**666,436**	**1,973,464**	**2,644,107**	**3,824,284**	**4,839,319**	**6,201,767**	**7,449,371**	**8,268,178**	**8,882,131**	**9,655,002**	**10,124,274**	**10,562,454**	**10,990,786**	**11,418,130**	**11,751,648**	**12,126,277**	**12,475,535**	**12,810,934**	**13,119,674**
Gross Margin %							*97%*	*94%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*	*91%*
Research and development (R&D)	25,389	72,324	184,809	205,164	245,441	272,350	236,718	388,525	108,692	97,823	92,932	92,002	391,449	94,762	97,605	99,557	101,549	393,474	452,495	248,872	174,210	139,368	146,337	153,654	161,336	164,563	167,854	171,211	174,636	178,128	181,691	185,325	189,031	192,812	196,668
Q/Q Change	*4%*	*80%*	*156%*	*11%*	*20%*	*11%*	*-13%*	*64%*	*-7%*	*-10%*	*-5%*	*-1%*	*1%*	*3%*	*3%*	*2%*	*2%*	*1%*	*15%*	*-45%*	*-30%*	*-20%*	*5%*	*5%*	*5%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*	*2%*
Selling, general & administrative (SG&A)	15,293	22,648	21,864	37,318	48,130	108,146	435,057	813,827	268,521	295,373	310,142	325,649	1,199,685	328,905	332,194	335,516	318,741	1,315,357	1,381,124	1,443,275	1,515,439	1,591,211	1,670,771	1,720,894	1,772,521	1,825,697	1,880,468	1,936,882	1,994,988	2,054,838	2,116,483	2,158,813	2,201,989	2,246,029	2,290,949
Q/Q Change	*99%*	*48%*	*-3%*	*71%*	*29%*	*125%*	*302%*	*87%*	*12%*	*10%*	*5%*	*5%*	*47%*	*1%*	*1%*	*1%*	*-5%*	*10%*	*5%*	*5%*	*5%*	*5%*	*5%*	*3%*	*3%*	*3%*	*3%*	*3%*	*3%*	*3%*	*3%*	*2%*	*2%*	*2%*	*2%*
Total operating expense	**40,682**	**94,972**	**206,673**	**242,482**	**293,571**	**380,496**	**678,008**	**1,258,500**	**404,060**	**424,424**	**437,799**	**456,769**	**1,723,052**	**459,714**	**471,989**	**486,105**	**486,200**	**1,904,008**	**2,095,124**	**2,070,373**	**2,168,263**	**2,343,941**	**2,553,859**	**2,692,280**	**2,812,310**	**2,945,150**	**3,049,624**	**3,152,731**	**3,256,625**	**3,362,232**	**3,460,425**	**3,543,439**	**3,624,864**	**3,705,856**	**3,785,167**
Income (Loss) from operations	**(40,682)**	**(94,972)**	**(206,673)**	**(242,482)**	**(293,571)**	**(380,496)**	**(497,875)**	**(300,097)**	**(92,723)**	**(77,440)**	**(51,961)**	**(22,126)**	**(244,250)**	**(59,200)**	**(3,222)**	**80,908**	**246,147**	**264,633**	**810,488**	**2,132,137**	**3,149,670**	**4,471,188**	**5,632,263**	**6,393,630**	**6,948,273**	**7,664,742**	**8,075,952**	**8,454,361**	**8,821,162**	**9,185,164**	**9,453,474**	**9,782,139**	**10,084,515**	**10,372,093**	**10,632,056**
Interest income	7,671	11,024	4,329	363	2,185	19,578	46,654	37,364	8,243	9,479	10,901	12,537	41,160	13,163	13,822	14,513	15,238	56,736	53,899	51,204	48,644	46,212	43,901	41,706	39,621	37,640	35,758	33,970	32,271	30,658	29,125	27,669	26,285	24,971	23,722
Other/interest (expense), net	200	-	100	273	(3,964)	(12,712)	(14,671)	(22,309)	(7,819)	-	-	-	(7,819)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Loss on extinguishment of debt	-	-	-	-	-	-	-	(2,779)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other expense	-	-	-	-	-	-	-	(463)	(2,092)	-	-	-	(2,092)	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Pre-tax income (loss)	**(32,811)**	**(83,948)**	**(202,244)**	**(241,846)**	**(295,350)**	**(373,630)**	**(465,892)**	**(288,284)**	**(94,391)**	**(67,961)**	**(41,059)**	**(9,589)**	**(213,000)**	**(46,037)**	**10,599**	**95,421**	**261,386**	**321,369**	**864,387**	**2,183,341**	**3,198,314**	**4,517,400**	**5,676,164**	**6,435,336**	**6,987,894**	**7,702,382**	**8,111,710**	**8,488,331**	**8,853,434**	**9,215,822**	**9,482,599**	**9,809,808**	**10,110,800**	**10,397,064**	**10,655,779**
Provision for income taxes	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	(499,113)	(895,528)	(1,264,872)	(1,589,326)	(1,801,894)	(1,956,610)	(2,156,667)	(2,271,279)	(2,376,733)	(2,478,961)	(2,580,430)	(2,655,128)	(2,746,746)	(2,831,024)	(2,911,178)	(2,983,618)
Income tax rate	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*0.0%*	*22.9%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*	*28.0%*
Net income (Loss)	**(32,811)**	**(83,948)**	**(202,244)**	**(241,846)**	**(295,350)**	**(373,630)**	**(465,892)**	**(288,284)**	**(94,391)**	**(67,961)**	**(41,059)**	**(9,589)**	**(213,000)**	**(46,037)**	**10,599**	**95,421**	**261,386**	**321,369**	**864,387**	**1,684,228**	**2,302,786**	**3,252,528**	**4,086,838**	**4,633,442**	**5,031,284**	**5,545,715**	**5,840,431**	**6,111,598**	**6,374,472**	**6,635,392**	**6,827,471**	**7,063,062**	**7,279,776**	**7,485,886**	**7,672,161**
Basic Shares Out	14,797	15,395	15,447	16,535	17,137	18,688	21,273	22,434	29,032	30,484	32,008	33,609	31,283	33,676	33,743	33,811	33,878	33,777	34,115	34,797	34,971	35,146	35,322	35,498	35,676	35,854	36,033	36,214	36,395	36,577	36,760	36,943	37,128	37,314	37,500
Share count growth	*20.8%*	*3.0%*	*0.3%*	*7.0%*	*3.6%*	*9.0%*	*13.8%*	*5.5%*	*27.2%*	*5.0%*	*5.0%*	*5.0%*	*39.4%*	*0.2%*	*0.2%*	*0.2%*	*0.2%*	*8.0%*	*1.0%*	*2.0%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*
Diluted Shares Out	14,797	15,395	15,447	16,535	17,137	18,688	21,273	22,434	29,032	30,484	32,008	33,609	31,283	33,676	33,743	33,811	33,878	33,777	34,115	34,797	34,971	35,146	35,322	35,498	35,676	35,854	36,033	36,214	36,395	36,577	36,760	36,943	37,128	37,314	37,500
Share count growth	*20.8%*	*4.0%*	*0.3%*	*7.0%*	*3.6%*	*9.0%*	*13.8%*	*5.5%*	*27.2%*	*5.0%*	*5.0%*	*5.0%*	*39.4%*	*0.2%*	*0.2%*	*0.2%*	*0.2%*	*8.0%*	*1.0%*	*2.0%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*	*0.5%*
Basic EPS	**($2.22)**	**($5.45)**	**($13.09)**	**($14.61)**	**($17.23)**	**($19.99)**	**($21.90)**	**($12.85)**	**($3.25)**	**($2.23)**	**($1.28)**	**($0.29)**	**($6.81)**	**($1.37)**	**$0.31**	**$2.82**	**$7.72**	**$9.51**	**$25.34**	**$48.40**	**$65.85**	**$92.54**	**$115.70**	**$130.53**	**$141.03**	**$154.67**	**$162.08**	**$168.77**	**$175.15**	**$181.41**	**$185.73**	**$191.19**	**$196.07**	**$200.62**	**$204.59**
Diluted EPS	**($2.22)**	**($5.45)**	**($13.09)**	**($14.63)**	**($17.23)**	**($19.99)**	**($21.90)**	**($12.85)**	**($3.25)**	**($2.23)**	**($1.28)**	**($0.29)**	**($6.81)**	**($1.37)**	**$0.31**	**$2.82**	**$7.72**	**$9.51**	**$25.34**	**$48.40**	**$65.85**	**$92.54**	**$115.70**	**$130.53**	**$141.03**	**$154.67**	**$162.08**	**$168.77**	**$175.15**	**$181.41**	**$185.73**	**$191.19**	**$196.07**	**$200.62**	**$204.59**

Source: Piper Sandler, Company Reports
Current disclosure information for this company can be found at:
http://www.pipersandler.com/researchdisclosures

IMPORTANT RESEARCH DISCLOSURES



Notes: The boxes on the Rating and Price Target History chart above indicate the date of the fundamental Equity Research Note, the rating and the price target. Each box represents a date on which an analyst made a change to a rating or price target, except for the first box, which may only represent the first Note written during the past three years.
Legend:
I: Initiating Coverage
R: Resuming Coverage
T: Transferring Coverage
D: Discontinuing Coverage
S: Suspending Coverage
OW: Overweight
N: Neutral
UW: Underweight
NA: Not Available
UR: Under Review

Distribution of Ratings/IB Services
Piper Sandler

			IB Serv./Past 12 Mos.	
Rating	**Count**	**Percent**	**Count**	**Percent**
BUY [OW]	**496**	**63.51**	**144**	**29.03**
HOLD [N]	**276**	**35.34**	**40**	**14.49**
SELL [UW]	**9**	**1.15**	**2**	**22.22**

Note: Distribution of Ratings/IB Services shows the number of companies currently covered by fundamental equity research in each rating category from which Piper Sandler and its affiliates received compensation for investment banking services within the past 12 months. FINRA rules require disclosure of which ratings most closely correspond with "buy," "hold," and "sell" recommendations. Piper Sandler ratings are not the equivalent of buy, hold or sell, but instead represent recommended relative weightings. Nevertheless, Overweight corresponds most closely with buy, Neutral with hold and Underweight with sell. See Stock Rating definitions below.

Analyst Certification

The analyst Yasmeen Rahimi, Ph.D., primarily responsible for the preparation of this research report, attests to the following:

The views expressed in this report accurately reflect my personal views about the subject company and the subject security. In addition, no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views contained in this report.

Piper Sandler research analysts receive compensation that is based, in part, on overall firm revenues, which include investment banking revenues.

Time of dissemination: 6 May 2026 11:03EDT.

Research Disclosures

Piper Sandler was a registered market maker in the securities of Madrigal Pharmaceuticals, Inc. at the time this research report was published.

Affiliate disclosures: Piper Sandler is the trade name and registered trademark under which the corporate and investment banking products and services of Piper Sandler Companies and its subsidiaries Piper Sandler & Co. and Piper Sandler Ltd. are marketed. This report has been prepared by Piper Sandler & Co. and/or its affiliate Piper Sandler Ltd. Piper Sandler & Co. is regulated by FINRA, NYSE and the United States Securities and Exchange Commission, and its headquarters are located at 350 North 5th Street, Minneapolis, MN 55401. Piper Sandler Ltd. is authorised and regulated by the Financial Conduct Authority, and is located at 6th Floor, 2 Gresham Street, London EC2V 7AD. This report is distributed in the European Union by Piper Sandler Europe SAS, a French *"société par actions simplifiée"* incorporated in France under the number RCS Paris 932 083 769 whose registered office is 10, place Vendôme, 75001, Paris, France. Disclosures in this section and in the Other Important Information section referencing Piper Sandler include all affiliated entities unless otherwise specified.

Rating Definitions

Stock Ratings: Piper Sandler fundamental research ratings are indicators of expected total return (price appreciation plus dividend) within the next 12 months. At times analysts may specify a different investment horizon or may include additional investment time horizons for specific stocks. Stock performance is measured relative to the group of stocks covered by each analyst. Lists of the stocks covered by each are available at www.pipersandler.com/researchdisclosures. Stock ratings and/or stock coverage may be suspended from time to time in the event that there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Research reports and ratings should not be relied upon as individual investment advice. As always, an investor's decision to buy or sell a security must depend on individual circumstances, including existing holdings, time horizons and risk tolerance. Piper Sandler sales and trading personnel may provide written or oral commentary, trade ideas, or other information about a particular stock to clients or internal trading desks reflecting different opinions than those expressed by the research analyst. Piper Sandler will buy and sell securities of the subject company on a principal basis, regardless of whether it is a registered market maker in those securities. In addition, Piper Sandler offers technical research products that are based on different methodologies, may contradict the opinions contained in fundamental research reports, and could impact the price of the subject security. Recommendations based on technical analysis are intended for the professional trader, while fundamental opinions are typically suited for the longer-term institutional investor.

Overweight (OW): Anticipated to outperform relative to the median of the group of stocks covered by the analyst.

Neutral (N): Anticipated to perform in line relative to the median of the group of stocks covered by the analyst.

Underweight (UW): Anticipated to underperform relative to the median of the group of stocks covered by the analyst.

Other Important Information

The material regarding the subject company is based on data obtained from sources we deem to be reliable; it is not guaranteed as to accuracy and does not purport to be complete. This report is solely for informational purposes and is not intended to be used as the primary basis of investment decisions. Piper Sandler has not assessed the suitability of the subject company for any person. Because of individual client requirements, it is not, and it should not be construed as, advice designed to meet the particular investment needs of any investor. This report is not an offer or the solicitation of an offer to sell or buy any security. Unless otherwise noted, the price of a security mentioned in this report is the most recently available closing market price. Piper Sandler does not maintain a predetermined schedule for publication of research and will not necessarily update this report. Piper Sandler policy generally prohibits research analysts from sending draft research reports to subject companies; however, it should be presumed that the fundamental equity analyst(s) who authored this report has had discussions with the subject company to ensure factual accuracy prior to publication, and has had assistance from the company in conducting diligence, including visits to company sites and meetings with company management and other representatives.
Notice to customers: This material is not directed to, or intended for distribution to or use by, any person or entity if Piper Sandler is prohibited or restricted by any legislation or regulation in any jurisdiction from making it available to such person or entity. Customers in any of the jurisdictions where Piper Sandler and its affiliates do business who wish to effect a transaction in the securities discussed in this report should contact their local Piper Sandler representative, or as otherwise noted below. **Canada:** Piper Sandler & Co. is not registered as a dealer in Canada and relies on the "international dealer exemption" set forth in National Instrument 31-103 – Registration Requirements, Exemptions and Ongoing Registrant Obligations of the Canadian Securities Administrators. This research report has not been prepared in accordance with the disclosure requirements of Dealer Member Rule 3400 – Research Restrictions and Disclosure Requirements of the Investment Industry Regulatory Organization of Canada. **United Kingdom:** This material is for the use of intended recipients only and only for distribution to professional and institutional investors, i.e., persons who are authorised persons or exempted persons within the meaning of the Financial Services and Markets Act 2000 of the United Kingdom, or persons who have been categorised by Piper Sandler Ltd. as professional clients under the rules of the Financial Conduct Authority. **European Union:** This material is intended only for institutional investors (professional clients and eligible counterparties within the meaning of the Markets in Financial Instruments Directive (Directive 2014/65/EU of the European Parliament and of the Council of 15 May 2014)). Piper Sandler Europe SAS is not licensed as an investment services provider. It carries out the activity of a financial analyst not associated with an investment services provider as described in Articles 327-1 et seq. of the General Regulation of the *Autorité des marchés financiers* ("RG AMF"). Piper Sandler Europe SAS complies, in particular, with Articles 327-2 to 327-6 of the RG AMF as well as the relevant provisions of the Regulation (EU) No 596/2014 (the Market Abuse Regulation or "MAR") and the Commission Delegated Regulation n°2016/958 applicable to the production or dissemination of "investment recommendations" (as defined under MAR). Piper Sandler Europe SAS does not provide investment services. **United States:** This report is distributed in the United States by Piper Sandler & Co., member SIPC, FINRA and NYSE, Inc., which accepts responsibility for its contents. The securities described in this report may not have been registered under the U.S. Securities Act of 1933 and, in such case, may not be offered or sold in the United States or to U.S. persons unless they have been so registered, or an exemption from the registration requirements is available. This report is produced for the use of Piper Sandler customers and may not be reproduced, re-distributed or passed to any other person or published in whole or in part for any purpose without the prior consent of Piper Sandler & Co. Additional information is available upon request. Copyright 2026 Piper Sandler. All rights reserved.